



CORONATION

**2025 CORONATION
INFRASTRUCTURE FUND**
ANNUAL REPORT

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Foreword

The year 2025 marked a significant milestone for the Coronation Infrastructure Fund (CIF), representing the Fund's first full year of operations and a transition from capital deployment to active income generation. This report outlines the Fund's performance, highlights key macroeconomic and policy developments, and sets out our strategic priorities as we enter 2026.

Macroeconomic conditions in 2025 reflected early gains from prior reforms, including foreign exchange market liberalisation and fuel subsidy removal. Headline inflation moderated, foreign exchange reserves strengthened, and the naira recorded measured appreciation against the US Dollar. While these trends are encouraging, their sustainability will depend on continued policy discipline and structural reform implementation.

CIF delivered a strong performance for the year ended 31 December 2025, recording a total return of 23.27%. This performance was driven primarily by interest income from investments in the Energy and Transportation sectors, both of which reached financial close. The Fund also made two income distributions in January and July, totalling ₦1.72 billion, reinforcing its income-generating profile. These outcomes reflect the strength of our investment process, underpinned by rigorous structuring and multi-stage due diligence.

The operating environment evolved positively for infrastructure investors during the year. The enactment of the Tax Act 2025 introduced a more progressive fiscal framework, supporting domestic revenue mobilisation and enhancing the foundation for sustainable infrastructure financing. In addition, sovereign credit rating upgrades, improved investor sentiment, and Nigeria's exit from the Financial Action Task Force (FATF) grey list contributed to a reduction in country risk perception.

A particularly important structural development was the revision of investment guidelines by the National Pension Commission (PenCom), allowing Pension Fund Administrators to allocate up to 25% of their portfolios to infrastructure funds.

This creates access to a significant pool of long-term domestic capital and strengthens CIF's ability to scale capital mobilisation.

The Fund also maintains a robust investment pipeline with committed exposure exceeding ₦64 billion across its six focus sectors. While infrastructure investments are inherently complex and subject to regulatory and counterparty timelines, we remain disciplined in our deployment approach, prioritising long-term value over speed of execution.

CIF's listing on the Main Board of the Nigerian Exchange (NGX) continues to differentiate the Fund by providing liquidity and reinforcing high standards of governance and disclosure. Investor engagement remained a priority throughout the year, supported by regular reporting and proactive communication.

The progress in 2025 positions the Fund with a stronger pipeline, a broader investor base, and a portfolio of income-generating assets that provide a stable foundation for performance. Our priorities for 2026 include disciplined deployment of capital across our pipeline, expanding our investor base through increased participation from Development Finance Institutions (DFIs), Pension Fund Administrators (PFAs), and other qualified Investors.

I would like to close by expressing my sincere appreciation to our investors and stakeholders for the confidence and trust you continue to place in the Fund. We remain committed to being responsible stewards of your capital, investing in infrastructure assets that deliver competitive returns while making a lasting and meaningful contribution to Nigeria's long-term economic development.



Aigbovbioise Aig-Imoukhuede

Managing Director,
Coronation Asset Management Limited

A black and white photograph showing a person's silhouette in the foreground, looking out a window. The view outside the window shows a modern building with large glass windows, a beach, and a cloudy sky. The person's hand is visible, resting on the window frame.

STRATEGY AND OUTLOOK

Looking ahead

Strategy and Outlook

Fund Strategy and Capital Deployment

In 2026, CIF's strategy will focus on scaling capital deployment, deepening portfolio diversification, and optimising risk-adjusted returns, while maintaining a strong development impact mandate.

Key strategic priorities include:

- Accelerated Deployment Across Focus Sectors:** Building on the Fund's initial investments in Energy and Transportation, the Fund will systematically deploy capital across its six focus sectors: Energy, Transportation, Utilities, Real Estate, Social Infrastructure, and Telecommunications prioritising assets with strong cash flow visibility and measurable economic impact.
- Pipeline Conversion and Capital Efficiency:** With over ₦50 billion in committed and advanced-stage opportunities, the Fund will prioritise disciplined execution, ensuring timely conversion of pipeline projects into income-generating assets.
- Blended Capital and Structured Solutions:** CIF will continue to leverage structured financing, credit enhancements, and partnerships with development finance institutions to crowd in private capital and optimise risk allocation across projects.
- Investor Liquidity and Market Access:** The Fund's listing on the Nigerian Exchange (NGX) remains central to its value proposition, providing liquidity optionality to investors and reinforcing transparency, governance, and market discipline.

Capital Raising Strategy: Series 2 and Series 3

The Series 2 and Series 3 capital raises planned for Q2 and Q4 2026 respectively, are anchored on the Fund's proven execution capability, early income distributions, and growing track record. These raises will be positioned to institutional investors particularly PFAs, insurance companies, and development-focused investors as an opportunity to access diversified infrastructure exposure through a professionally managed, regulated, and liquid platform.

Proceeds from subsequent series will be deployed into a maturing pipeline of bankable projects, ensuring efficient capital utilisation and accelerated portfolio build-out.

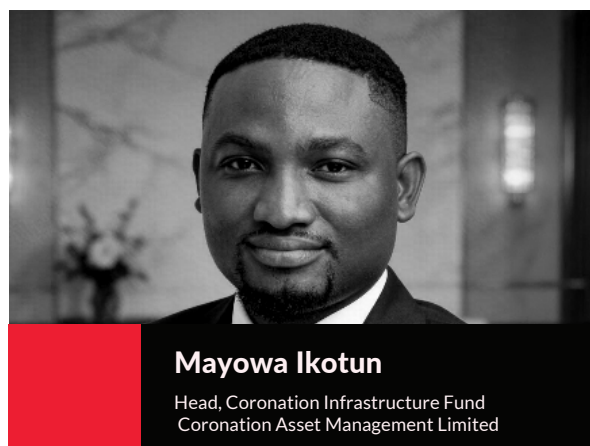
Governance, Risk Management, and ESG Integration

CIF will continue to uphold the highest standards of corporate governance, risk management, and regulatory compliance. Environmental, Social, and Governance (ESG) considerations remain embedded across the investment lifecycle, ensuring that capital deployment delivers sustainable economic outcomes while preserving long-term asset value.

Conclusion

As Nigeria advances through a period of structural reform and economic recalibration, the role of infrastructure capital has never been more critical. CIF enters 2026 as a credible platform for mobilising patient capital into assets that underpin economic growth, enhance productivity, and improve quality of life.

With a strong pipeline, supportive policy environment, and increasing investor confidence, the Fund is well positioned to scale its impact and deliver attractive, risk-adjusted returns. We remain committed to partnering with investors and stakeholders to finance the infrastructure Nigeria needs to grow sustainably.



Mayowa Ikotun

Head, Coronation Infrastructure Fund
Coronation Asset Management Limited

As **Coronation Infrastructure Fund** looks to 2026, we look to build on the foundations laid in 2025 to continue to deliver measurable, inclusive and transformative impact. The Fund will continue to review and implement its investment strategy in line with Nigeria development needs, global sustainability goals and investor's expectations.



Partnerships

CIF deepens its deal origination process by strengthening and expanding partnerships with financial advisory firms, infrastructure funds, and credit guarantee companies. Building a robust and continuously refreshed project pipeline will broaden our deal pipeline, faster deployment and improved origination velocity.

Liquidity

The Fund listed its Series 1 units on the NGX, creating an accessible entry and exit mechanism for investors. CIF plans to list subsequent series, embedding a structural liquidity premium into the fund. This will lower lock-in risk and easier entry/exit for all investor types.

Economic Impact

CIF pursues investments with strong, measurable economic impact across priority sectors. A rigorous credit criteria framework, backed by professional Investment Committee oversight, ensures disciplined capital allocation. We aim for stronger capital protection and quality deployment.

Diversification

The Fund enhances portfolio diversification by allocating capital across six priority sectors, diverse states, and a mix of interest rate structures and tenors, reducing concentration risk, thereby reducing concentration risk and stabilizing returns across market cycles.

Sustainability

Sustainability is a core pillar of CIF's investment philosophy. The Fund prioritizes projects with strong ESG impact and the potential to transform lives, ensuring that infrastructure developed today delivers long-term value, preserves ESG-aligned assets, and benefits both future generations and the environment.

**| ABOUT
CORONATION
INFRASTRUCTURE
FUND**

The Coronation Infrastructure Fund (“CIF” or the “Fund”) is an actively managed closed-end debt fund that focuses on making long-term investments within specific sectors in Nigeria. The Fund invests in loans, securities, and securitised debt instruments of infrastructure companies, projects, or special purpose vehicles.

The Fund connects long-term investors such as pension funds, sovereign wealth managers, and high net worth individuals with project sponsors in need of stable and patient capital. It replaces short-term credit, which often disrupts projects, with financing that aligns with project timelines, thereby offering investors long-term, risk-adjusted returns and providing funding to sponsors to deliver large-scale infrastructure projects that have strong development impact.

Investment Philosophy

The Fund's core strategy is to invest in a diversified portfolio of high-quality local infrastructural projects, primarily through senior loans, ensuring a favourable position in project cash flow distribution.

Risk Management

The Fund's risk management is supported by its independent Investment Committee, which is

responsible for reviewing the investment memoranda prepared by the Deal Execution team and providing guidance to the Fund Manager on investments.

Key risk management strategies include:

- Investment in long-lived assets with highly predictable and resilient cash flows.
- Prioritise companies with a robust corporate governance framework and strong credit rating.
- Diversified investment in projects backed by strong sponsors and proven operators.
- The Fund's Trustee plays a key role in ensuring that investors' funds are safeguarded through oversight responsibilities and holding the assets of the Fund in trust for unitholders.

Sector Focus

Investment spans a variety of the T.R.U.S.T.E sectors: Telecommunications, Real Estate, Utilities, Social, Transportation, and Energy. These sectors have been identified as critical to Nigeria's long-term economic development.

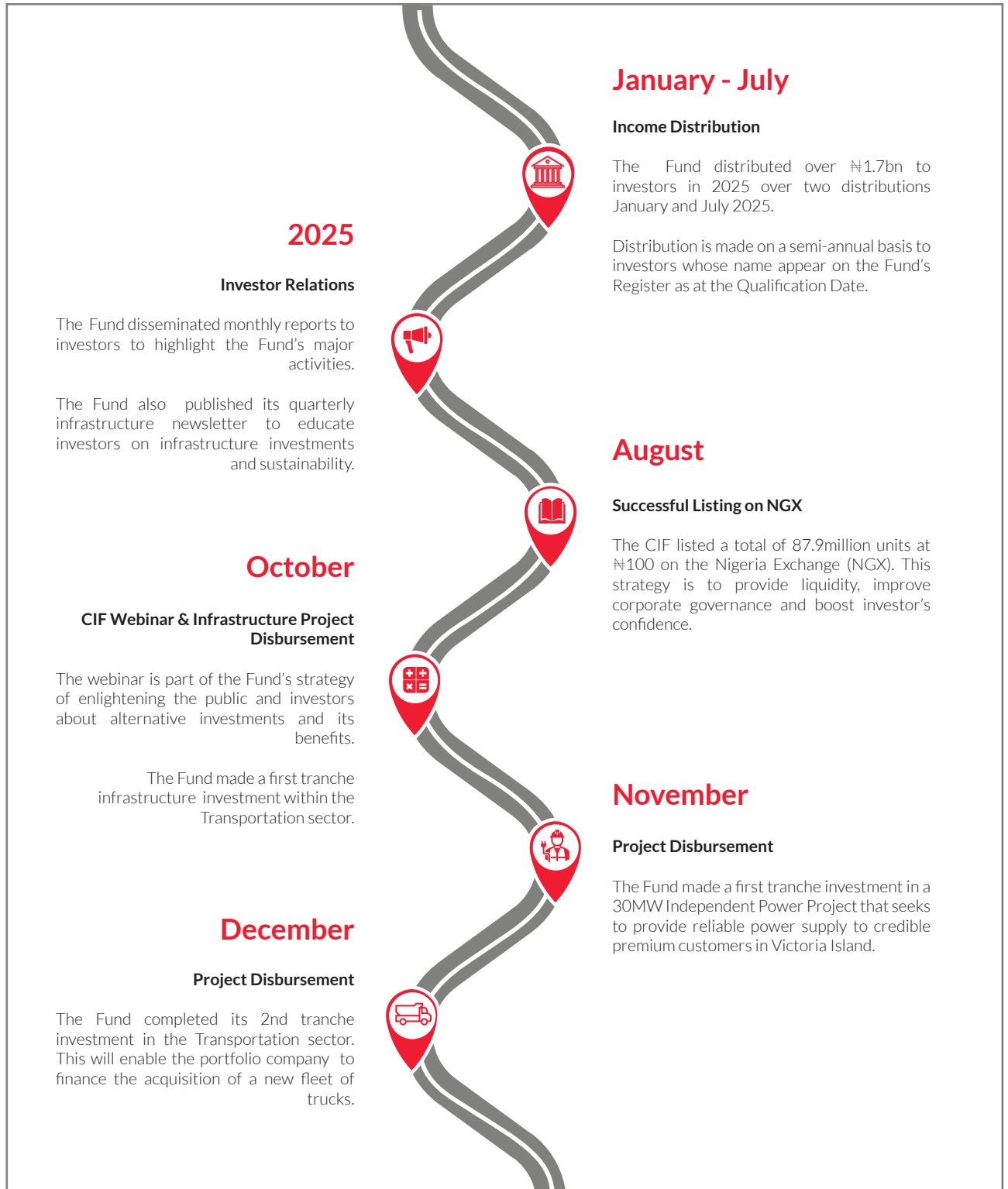
₦200Bn
Fund's Program Size


Nigerian Exchange Group
Listing Exchange

₦8.79Bn
Series 1 Raise

87.9Mn
Units Issued

2025 At A Glance





PORTFOLIO SNAPSHOT

Fund performance and risk management

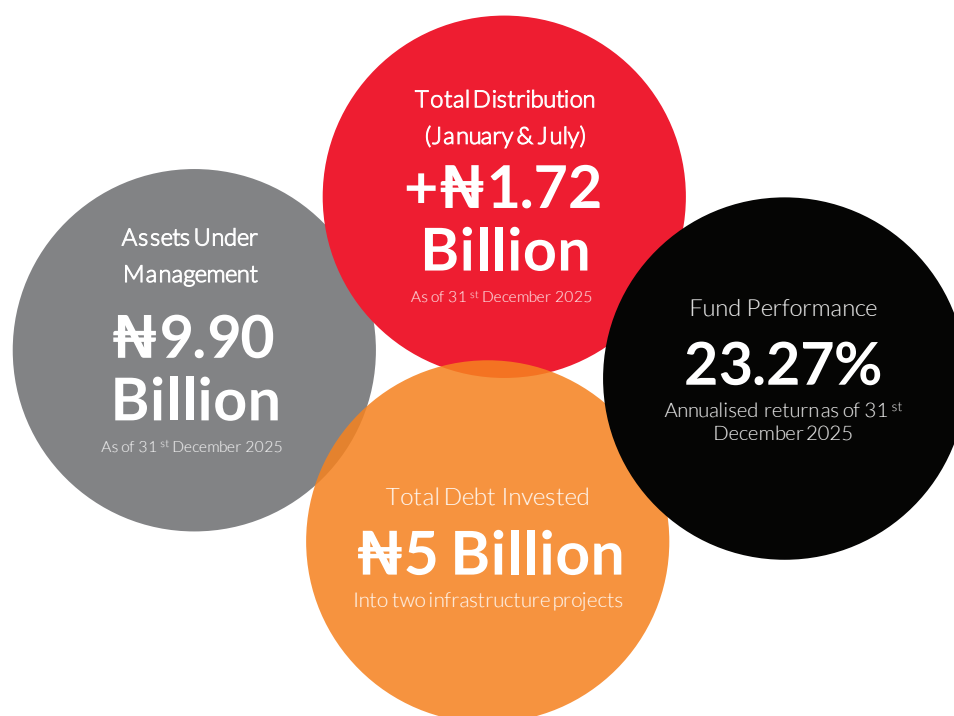
Percentage of the Fund held by PFA's:
42%

Invested sectors:
Transportation and Energy

Project Impact:
Transportation - 300 new trucks
Energy - 30MW embedded generation plant

Market Listing:
NGX (For liquidity and transparency)

Income Distribution History
January 2025 - ₦9.40/unit
July 2025 - ₦10.13/unit



Financial Performance

The portfolio delivered a net annualised return of **23.27%**, and a weighted average Years to Maturity (YTM) of 2.35 years, reflecting prudent cash management and tactical portfolio positioning amid a declining yield environment.

CIF Focus Sector



Transportation

Roads and Airports, Bus stations
Parks, Logistics and Delivery business,
Ride-hailing businesses, Railways,
Seaports.



Real Estate

Hotels, Office spaces, Shopping Malls,
Retail, Warehouses and Factories.



Utilities

Water treatment and supply, Waste &
recycling, Municipal and industrial
waste management.



Social Infrastructure

Health: Medical Facilities, Ancillary
Infrastructure, Student Accommodation,
Civic: Community and Sport facilities.



Telecommunication

Mobile Network Operators, Data
Centers, Telecoms Infrastructure,
Digital Infrastructure, Diversified
communication services.



Energy

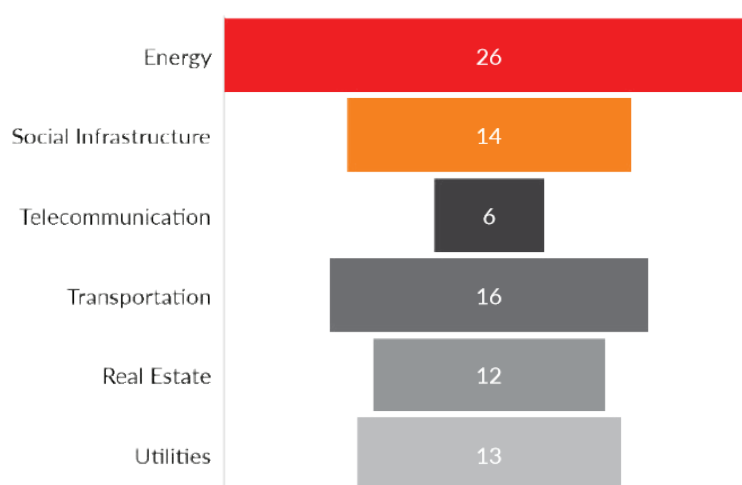
Renewable Energy, Gas and Gas
Infrastructure, Pipeline Infrastructure,
Electricity generation and distribution,
Midstream, LPG, CNG and LNG.

Clean Energy: Hydrogen, Wind and
Nuclear.

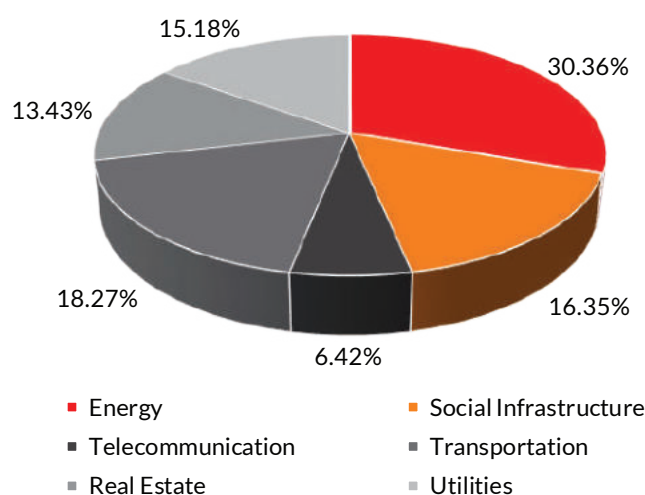
Fund Project Pipeline

At the heart of our investment strategy lies a curated pipeline of high-impact projects across Telecommunications, Real Estate, Utilities, Social Infrastructure, Transportation and Energy sectors that form the backbone of economic growth. Through rigorous financial analysis and structured project execution, we actively identify, evaluate, and manage investment opportunities, delivering sustainable value and long-term growth for our stakeholders while shaping the infrastructure of tomorrow.

Project Size Per Sector



Project Percentage Per Sector



The Fund has over 40+ deals in its pipeline across its sector focus.



Summary of 2025 Audited Financials

STATEMENT OF FINANCIAL POSITION

	December 2025 N'000	December 2024 N'000
Assets		
Cash and bank balances	4,755,493	9,557,895
Financial Asset measured at Amortised Cost	5,041,275	-
TOTAL ASSETS	9,796,769	9,557,895
LIABILITIES		
Financial liabilities carried at amortised cost	66,795	888,495
TOTAL LIABILITY	66,795	888,495
EQUITY		
Net assets attributable to unitholders	9,729,974	8,669,400
TOTAL EQUITY	9,729,974	8,669,400
TOTAL EQUITY & LIABILITY	9,796,769	9,557,895

STATEMENT OF COMPREHENSIVE INCOME

	December 2025 N'000	December 2024 N'000
Interest income	2,082,042	1,187,045
Other income	4	35,640
Operating expenses	(130,781)	(517,026)
OPERATING PROFIT FOR THE YEAR	1,951,265	705,659
OTHER COMPREHENSIVE INCOME:		
Other comprehensive income for the period	-	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	1,951,265	705,659

Please click [here](#) to see the audited financial statement FY2025



PORTFOLIO IMPACT

Investee companies and their impact

Our investment strategy integrates Sustainable and Development Goals (SDGs) considerations into project selection, capital allocation, governance oversight, and performance monitoring to ensure that portfolio companies deliver measurable economic, social, and environmental value alongside financial return.

Energy – Independent Power Plant Project

The project's core impact centres on the development of a 30MW gas-fired power plant supplied by Wärtsilä, designed to deliver embedded generation directly to Victoria Island. The project includes the construction of a 2.5km gas spur line to ensure reliable fuel supply, alongside a dedicated evacuation and distribution network to enhance power reliability within the axis.

The project will strengthen urban energy reliability and support Lagos' transition toward more sustainable urban power solutions. It is expected to facilitate the decommissioning of up to 30,000 diesel generators within Victoria Island and significantly reduce emissions, noise pollution and operating costs for businesses.

The project is projected to generate up to 400 direct jobs across its pre-construction, construction, and operational phases, contributing to local economic growth, skills development, and inclusive employment in alignment with SDG 8 (Decent Work and Economic Growth).

Overall, the project advances SDG 7 (Affordable and Clean Energy) by improving access to reliable power, SDG 9 (Industry, Innovation and Infrastructure) through resilient embedded generation infrastructure, SDG 11 (Sustainable Cities and Communities) by enhancing urban energy systems, and SDG 13 (Climate Action) through emissions reduction from diesel displacement while aligning with Nigeria's Energy Transition Plan (ETP) and the Nigerian Electricity Regulatory Commission's (NERC) embedded generation mandate.

Transportation and Logistics Project

The project's core investment is the acquisition of 300 new trucks to enhance the current fleet, significantly expanding its logistics capacity and nationwide distribution reach. This strategic investment enables the transportation of an average of 550,000 tonnes of goods monthly, strengthening national supply chains and supporting major blue-chip companies across the the fast-moving consumer goods (FMCG) and manufacturing sectors.

Beyond its commercial impact, the project delivers measurable contributions to several Sustainable Development Goals (SDGs). By enhancing efficient and reliable transport infrastructure, it advances SDG 9 (Industry, Innovation and Infrastructure) and supports broader economic productivity under SDG 8 (Decent Work and Economic Growth).

The creation of 7,799 direct and indirect jobs nationwide, creating meaningful employment opportunities and supporting livelihoods in line with SDG 1 (No Poverty) and SDG 8 (Decent Work and Economic Growth) promotes inclusive economic participation.

In addition, the project demonstrates a commitment to diversity and inclusive leadership, with women representing 14% of managerial positions. This contributes to advancing SDG 5 (Gender Equality) by promoting greater female participation within a traditionally male-dominated transportation sector.

Overall, the investment delivers tangible socio-economic impact aligned with the SDGs, while reinforcing the Fund's commitment to sustainable and inclusive growth.



Project Impact - Independent Power Project

30MW Embedded Power Project Capacity

Loan Amount: ₦3bn

LNG LIQUEFACTION PLANT

200,000
SCM/DAY

CUSTOMERS CONNECTED

25
Target: 31 Customers

GAS SPUR LINE

2.5KM

CONNECTED CAPACITY

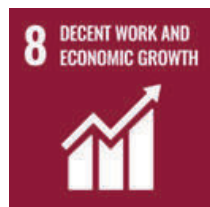
6MW
Target: 30MW Capacity

EXPECTED DIRECT JOBS
(PRE AND POST CONSTRUCTION)

400

FEEDERS NETWORK RADIATED

5
Target: 33kv feeder
route length



Project Impact - Transportation & Logistics

860 Trucks Supporting Nationwide Logistics Operations

Loan Amount: ₦2bn

NUMBER OF TRUCKS IN OPERATION

860

AVERAGE MONTHLY GOODS TRANSPORTED

550,000
TONNES

KILOMETRES COVERED (MONTHLY)

2.6
Million KM

KEY REGIONS OF OPERATIONS

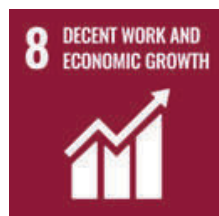
6
Geo-political zones

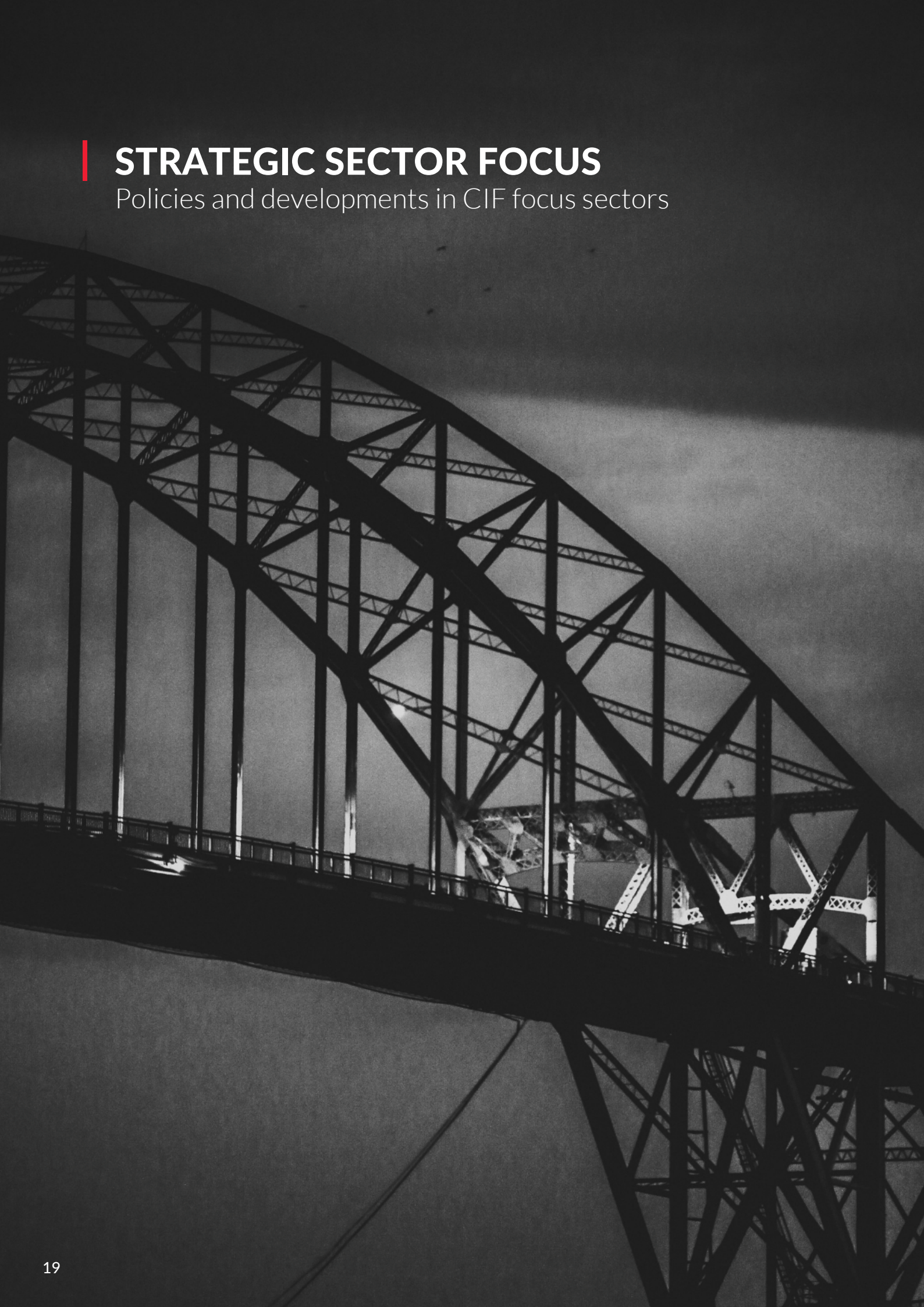
TOTAL DIRECT & INDIRECT JOBS

7,799
Direct: 1,234
Indirect: 6,565

INDUSTRY SERVED

Serves major commercial customers like:
PZ cussions, Nestle Nig. Ltd, Lafarge, Nestle, Food and FMN Agro-allied Group.





STRATEGIC SECTOR FOCUS

Policies and developments in CIF focus sectors

Policy Reforms in 2025

Nigeria's 2025 tax reforms constitute the most far-reaching restructuring of the country's fiscal architecture in a long time, replacing twelve legacy laws with a unified, modernised framework that became effective in 2026. The reform package comprising the Nigeria Tax Act, the Nigerian Tax Administration Act, the Nigeria Revenue Service Act, and the Joint Revenue Board Act streamlines administration, expands the tax base, harmonises multiple levies, and strengthens enforcement through digital fiscalisation and coordinated oversight across federal, state, and local tiers. Key provisions include a simplified corporate tax regime, a progressive capital gains tax structure aligned with global practice, and targeted reliefs for small businesses and low income earners.

Investment and Securities Act (2025)

ISA 2025 delivers the most comprehensive modernisation of Nigeria's capital market framework in nearly two decades, replacing the 2007 Act with a globally aligned, more technology responsive regime. It expands the definition of securities, formally brings virtual and digital assets under SEC oversight, strengthens the supervisory architecture for financial market infrastructures and enhances investor protection through broader regulatory powers and tougher enforcement provisions. The Act opens new funding channels by recognising investment contracts, non-interest instruments such as Sukuk, and a wider spectrum of issuers, including crowdfunding platforms, entities in free trade zones, and specialised government agencies.

The Nigeria Tax Act (NTA)

The new tax reforms bring a streamlined system a single 4% Development Levy replaces four old taxes, while small companies under ₦50m turnover gain full exemption. For individuals, those earning up to ₦800,000 per year are now tax exempt, while higher earners face rates up to 25%. Foreign firms managed from Nigeria will now be taxed locally, and selling Nigerian shares from offshore could attract Capital Gains Tax. Free Zone companies lose their local sales tax break in 2028 and the pioneer status is swapped for a sector focused tax credit. Businesses can now reclaim VAT, with essentials like food, drugs, and school fees completely VAT free.

PENCOM Act (2025)

In late 2025, Nigeria's National Pension Commission (PenCom) announced a major recapitalisation mandate for all pension operators in September 2025. This is the most sweeping increase in capital standards since the 2011 - 2012 reforms, and it is designed to ensure PFAs/PFCs have sufficient capital buffers commensurate with their rapidly growing pension assets and risk management needs. The key points of the revised capital requirements are as follows:

1. PFA Capital Base: Raised from ₦5 billion to ₦20 billion.
2. Additional Capital for Large PFAs (AUM Based).
3. PFC Capital Base raised from ₦2 billion to ₦25 billion.
4. Compliance timeline and ongoing

STRATEGIC SECTOR FOCUS

Transportation



Strategic Sector focus - Transportation

Transportation is one of the sector focus areas for Coronation Infrastructure Fund given Nigeria's current infrastructure deficit. Closing this gap through effective planning and targeted investment is critical to unlocking economic growth and supporting the nation's development agenda.

The federal government allocated ₦256.8 billion in the 2025 budget for transport, funding projects like railway completions (Abuja-Kaduna, Lagos-Ibadan) and CNG conversions for sustainable road transport. The year 2025 saw AfCFTA air corridor launches and private seaport advancements, improving regional trade and logistics. Full-year 2025 non-oil exports hit a record \$6.1 billion (up 11.5% from \$5.46 billion in 2024), per NEPC, with NBS noting ₦9.2 trillion in the first nine months (48% rise). Transport improvements, including rail expansions, enhanced logistics for these exports.

Key developments in 2025 were focused on:

1. Roads and Railways

POLICY DEVELOPMENTS

- FEC approves the National Land Transport Policy in Nigeria, which aims to create an efficient, safe, integrated, and sustainable land transport system.

INFRASTRUCTURE EXPANSION

- Ongoing federal road projects: Abuja-Kaduna-Zaria-Kano dual carriageway.
- 9th Mile-Oturkpo-Makurdi Road.
- Lagos-Calabar Coastal Highway Phase 1.

INVESTMENT IMPLICATIONS FOR CIF

- Rail corridor completions unlock freight logistics assets; CIF can participate in PPP frameworks for rail-linked industrial zones and toll road concessions.

2. Aviation Sector

POLICY DEVELOPMENTS

- Federal Ministry of Aviation proposes the Fly Nigeria Act to empower Nigerian carriers and reduce capital flights.

INFRASTRUCTURE EXPANSION

- APM Terminals to build deep seaport, dry port in Ogun state.
- Afreximbank to support Nigerian airlines with 25 aircraft through dry lease financing.
- NCAA launches advanced air transport regulation portal.

INVESTMENT IMPLICATIONS FOR CIF

- Fly Nigeria Act and fleet financing signal policy tailwinds. CIF can explore aircraft leasing structures and cargo terminal investments tied to AfCFTA air corridor growth.

3. Maritime Sector

POLICY DEVELOPMENTS

- NPA, PEDEC strategic partnership to boost efficiency and ease of doing business at Nigerian ports.

INFRASTRUCTURE EXPANSION

- Dangote submits documentation for Nigeria's largest seaport development.
- WACT-APM Terminals Nigeria welcomes major container carrier at Onne Port.

INVESTMENT IMPLICATIONS FOR CIF

- Seaport expansion and port efficiency reforms create opportunities in port logistics, dry port infrastructure, and container handling assets under long-term concession models.

Sources

Stren & Blan Partners Transportation sector Round up
Nigerian Railway Corporation
Federal Ministry of Works and Housing
Federal Ministry of Industry, Trade and Investment.

Glossary

NEPC stands for Nigerian Export Promotion Council
NPA stands for Nigerian Port Authority
PEDEC stands for Presidential Enabling Business Environment Council

Glossary

CNG stands for Compressed Natural Gas
AfCFTA stands for African Continental Free Trade Area
WACT-APM stands for West Africa Container Terminal
NCAA stands for Nigeria Civil Aviation Authority

A high-angle, black and white photograph of a dense urban skyline, likely New York City. The Empire State Building stands prominently in the center background, its spire reaching towards a cloudy sky. The foreground and midground are filled with a variety of skyscrapers and buildings, showcasing different architectural styles from Art Deco to modern glass-and-steel structures. The image has a slightly hazy or atmospheric quality, with the buildings in the distance appearing softer than those in the foreground.

STRATEGIC SECTOR FOCUS

Real Estate

Strategic Sector focus - Real Estate

Real estate in Nigeria has emerged as a cornerstone of economic development and investment. Recent data show the sector's valuation and contribution to GDP expanding rapidly, driven by urbanisation, demographic growth, increased foreign and diaspora capital, digital innovation, and resilient property demand. Residential and commercial real estate projects in major urban centres are not only filling critical infrastructure gaps but also creating jobs, generating wealth through asset appreciation, and boosting public revenues.

The Nigerian construction industry remains a vital pillar for national economic growth and development, contributing approximately ₦6.5 trillion (4% of GDP) in 2024, with a projected annual growth of around 7% for 2025.

The sector spans residential, commercial, industrial, and infrastructure segments, with public infrastructure projects driving over 60% of output, reflecting the government's determined agenda to address Nigeria's vast infrastructure deficit estimated at \$3 trillion over the next 30 years.

Urbanisation and population growth are significant demand drivers, intensifying the housing shortage, with over 31 million units needed to bridge the gap.

- **Urbanisation and Population Growth:** Nigeria continues to experience rapid urbanisation, with an estimated annual urban growth rate of approximately 4.3%, driving sustained demand for residential housing, particularly in major urban centres such as Lagos and Abuja.

- **Housing Demand Dynamics:** The pace of urban population growth necessitates increased residential development, reinforcing the need for efficient market platforms that facilitate property transactions and improve access between buyers, sellers, and developers.
- **Market Liquidity and Capital Availability:** Increased foreign capital inflows have enhanced liquidity within the real estate market, supporting project development, asset acquisition, and expansion across residential and commercial segments.
- **Digitalisation of Real Estate Transactions:** The adoption of digital technologies has accelerated, with a significant proportion of property searches and transactions now initiated online, improving efficiency, transparency, and market accessibility.
- **Foreign Investment Inflows:** Foreign direct investment into Nigeria's real estate sector reached approximately US\$1.2 billion, reflecting growing interest from international investors, supported by favourable government policies and a relatively stable regulatory framework.

Nevertheless, opportunities abound, supported by robust government investments exceeding ₦8 trillion in capital projects for 2025, enhanced public-private partnerships, and rising foreign direct investment flows. Technological advancements, including Building Information Modelling (BIM), AI, and sustainable construction practices, offer avenues for efficiency gains and environmental compliance.

Growth Drivers

Urbanization and population growth (Annually)

4.3%

Foreign Direct Investment

15%

An increase from US\$1.2 bn in 2024

Market Challenges

Regulatory Hurdles

Regulatory bottlenecks and bureaucratic delays persist, complicating project execution and fostering inefficiencies.

Infrastructure Deficiencies

30% of urban areas having access to reliable electricity and water supply.

Sources
Kenresearch
Agusto reports

Glossary
GDP stands for Gross Domestic Product



STRATEGIC SECTOR FOCUS

Utilities

Strategic Sector focus - Utilities

Access to clean water and sanitation is a basic human right. Nonetheless, it remains a challenge for millions worldwide. According to reports from the World Health Organisation (WHO) and United Nations Children's Fund (UNICEF), 2.2 billion people (c.27.0% of global population) still lack access to safely managed drinking water services, while an estimated 3.5 billion people lack access to safe sanitation facilities, as at 2022. This crisis severely affects people's health, well-being, and economic productivity. The lack of safe water and sanitation leads to waterborne diseases, such as cholera, diarrhoea, and typhoid fever, which cause millions of deaths yearly, especially among children under five.

Water

Nigeria is endowed with abundant water resources, including surface water from rivers, lakes, and reservoirs, as well as groundwater aquifers. Major water bodies like the Niger and Benue Rivers, as well as Lake Chad, play critical roles in agriculture, energy generation (through hydropower), and transportation. However, uneven distribution and seasonal fluctuations present significant challenges, particularly in arid northern regions.

Despite the country's vast water resources, Nigeria is considered as an economic water-scarce country, implying that there is a need for increased investment and strengthened management to meet water demand. It is estimated (in 2021) that the total annual water demand in Nigeria is about 5.93 billion m³, which is expected to increase to 16.58 billion m³/year in 2030.

According to the National Water Resources Master Plan, only 60% of Nigeria's population has access to improved water sources, leaving a large portion reliant on unsafe water, which exacerbates health and sanitation issues. Water plays a crucial role in improving development indices in Nigeria by driving economic growth, enhancing public health, and reducing poverty.

Reliable water supply also supports industries and energy generation through hydropower, such as the Kainji and Shiroro dams, contributing to national electrification goals. Clean water access reduces waterborne diseases, lowering healthcare costs and improving life expectancy.



Sources

Unicef
Nigerian Institute of Water Engineers
<https://articles.nigeriahealthwatch.com/in-nigerias-water-tug-of-war-cleanliness-and-access-collide/>

Glossary

UNICEF stands for United Nations Children's Fund
WHO stands for World Health Organisation

Nigeria generates approximately 32 million tonnes of solid waste annually. The sector consists of two major segments – solid waste and water waste. Solid waste constitutes a significant portion of the waste generated and it includes MSW from households, commercial, industrial, and hazardous wastes. Liquid waste includes wastewater and industrial wastes.

Waste

Waste management remains a significant challenge in Nigeria, with over 32 million tonnes of waste generated annually, of which only 20-30% is collected, based on a “Solid Waste Generation and Characterisation” paper from the University of Lagos. Urban centres like Lagos face mounting pressures due to rapid population growth and urbanisation. Notably, the Lagos Waste Management Authority (LAWMA), cited that Lagos generates between 13,000 and 15,000 tonnes of waste every day across its four million households. However, only a fraction of this waste is properly collected.

The waste management value chain shows the interplay between different stakeholders:

- 1. Waste Generation:** Solid wastes are typically generated from households, industries, commercial and institutions. According to the

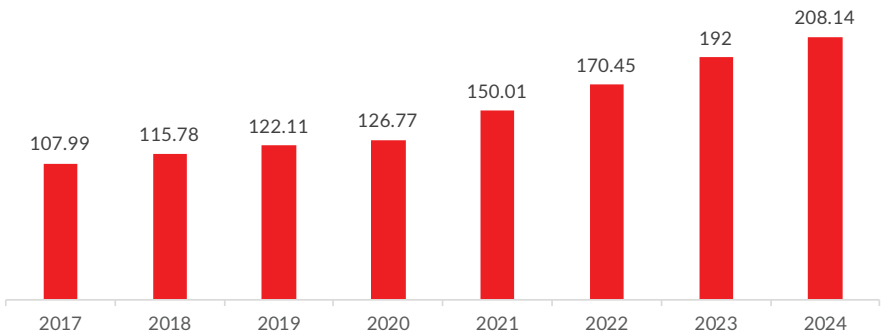
- World Bank, Nigeria is the tenth largest producer of unmanaged plastics in the world, accounting for 2.7% of the global total plastic.
- 2. Collection:** Waste collection is managed by state waste agencies and PSP operators. Their activities are coordinated by the Association of Waste Managers of Nigeria through public-private partnerships.
- 3. Sorting & Segregation:** Once waste has been collected, both formal and informal collectors engage in sorting various materials, including plastics, metals, and ceramics.
- 4. Transportation:** After collection and segregation, waste is transported to treatment facilities.
- 5. Recycling:** This involves various processes such as composting, recycling, and incineration, and pyrolysis, to develop new value chain.

Despite the sector's importance, Nigeria faces a significant gap in waste management, with only 20% of the 32 million tonnes of solid waste collected annually. This collection rate is significantly lower than the average of 44% for Sub-Saharan Africa, indicating a pressing need for improved infrastructure and investment in waste management systems.

Nigeria Waste Industry Snapshot



Waste Management Contribution to GDP (₦'billion)



Sources

World bank report on solid waste management

UNIDO report on solid waste management

Glossary

PSP stands for Private Sector Participants

LAWMA stands for Lagos Waste Management Authority



STRATEGIC SECTOR FOCUS

Social Infrastructure

Strategic Sector focus - Social Infrastructure

Social infrastructure development cuts across almost all sectors of the economy, as it concerns the foundational systems and services that support a population's quality of life and well-being. Social infrastructure emphasizes human-centric services, such as education, healthcare, housing, sport, labour productivity, tourism, public facilities and developmental facilities for youth and women. This is essential for achieving the objectives of diversifying production, expanding trade, coping with population growth, reducing poverty and improving human welfare, especially in developing economies like Nigeria.

Healthcare Infrastructure Gap

Nigeria's healthcare system faces compounding structural pressures that limit service quality and equitable access to care nationwide.

Key Gaps

- Deteriorating physical healthcare infrastructure, particularly in rural areas.
- Increasing outbound medical tourism is draining foreign exchange.
- Severe workforce shortages driven by skilled-professional emigration.
- Inadequate FGN funding relative to population size and disease burden.
- Low health insurance penetration is limiting demand aggregation.

Government Policy Direction

The 2025 Federal Budget reflects a clear upward fiscal commitment to the health sector, albeit still below the Abuja Declaration benchmark.

- ₦2.48 trillion allocated to healthcare (5.18% of total expenditure), up from ₦1.23 trillion in 2024.
- ₦402 billion ring-fenced for health infrastructure capital upgrades.
- ₦282.65 billion for the Basic Health Care Provision Fund (BHCPF).
- National Health Insurance expansion: coverage grew from 16.7 million to 19.2 million enrollees.
- Spending trajectory positive but still below the 15% Abuja Declaration benchmark.

Investment Opportunity

The Case for Private Capital

The government's fiscal gap creates a structural entry point for long-tenor private infrastructure debt to finance healthcare delivery assets.

Opportunity Drivers

- Predictable revenue streams from insurance-backed and out-of-pocket patient flows.
- Growing private hospital networks seeking structured long-term debt financing.
- Medical equipment leasing and diagnostic infrastructure sub-sectors are underserved.
- ESG-aligned investing: high social impact and SDG 3 (Good Health & Well-Being) alignment.



Student Housing

Student housing remains a critical infrastructure gap within Nigeria's higher education ecosystem. Rapid enrolment growth and expanding tertiary institutions have significantly outpaced available accommodation capacity. According to the National Universities Commission (NUC), only approximately 30% of students have access to on-campus housing, leaving the majority dependent on informal, overcrowded, or costly off-campus options. This deficit negatively impacts student welfare, security, academic performance, and overall educational outcomes.

Key Challenges

- Severe on-campus accommodation shortfall across federal and state institutions.
- Overcrowding and aging hostel infrastructure.
- High cost and security concerns associated with off-campus housing.
- Limited public capital available for large-scale hostel development.

Investment Model: Public-Private Partnerships (PPPs)

Public-Private Partnerships (PPPs), particularly concession structures, provide a scalable solution to the accommodation deficit. Under this model:

- Private developers finance, construct, and operate purpose-built student accommodation (PBSA).
- Investors recover capital and earn returns over an agreed concession period.
- Assets revert to the university at the end of the concession term.

This structure reduces fiscal pressure on universities while leveraging private sector efficiency in design, financing, and facility management.

Strategic Opportunity

Nigeria's expanding tertiary enrolment creates a structural demand driver for student housing development. For long-term investors, the asset class offers:

- Predictable occupancy rates linked to university enrolment.
- Stable cash flow potential under structured concession agreements.
- Strong social impact aligned with educational development goals.

As the education sector continues to scale, concession-led student housing development presents a sustainable pathway to close infrastructure gaps while enhancing student welfare and institutional competitiveness.





STRATEGIC SECTOR FOCUS

Telecommunication

The Nigerian telecommunications sector was shaped in 2025 by two major regulatory actions a critical 50% tariff increase to offset FX pressures and forthcoming tax reform that simplifies the fiscal regime. These interventions supported a financial recovery for key operators. The combined effect of these developments has stabilized the sector's operational and financial foundation.

The Tariff Decision

The Nigerian Communications Commission (NCC) approved a 50% increase in telecoms tariffs — the first hike in nearly eleven years. The move came as operators faced mounting losses from naira devaluation and rising operational costs.

Regulatory Rationale

Justified on grounds of elevated inflation, FX instability and capex pressures. The objective: restore financial sustainability and preserve operators' capacity to invest in network quality and digital infrastructure.

Compliance Framework

Stricter obligations imposed on operators. Measurable network performance improvements mandated within 3 months. Heightened oversight and more stringent penalties for non-compliance introduced.

Sector Outcome:

The tariff hike stabilised the sector's financial foundation, triggered an immediate positive signal to capital markets, and marked a pivotal step toward re-establishing economics that support sustained investment in connectivity infrastructure.

Nigerian Telecommunications Market Structure

Mobile Network Services

Sub Segment: Voice Services, Data Services
Key Players: MTN Nigeria, Airtel Nigeria, Globacom Glo, 9 mobile.

Fixed Line Services

Sub Segment: Voice & Broadband
Key Players: IPNX, MTN Nigeria (limited fixed services).

Internet Services (ISPs)

Sub Segment: Fiber-to-the-Home (FTTH), Wireless Access
Key Players: Spectranet, Smile Communications, Tizeti, IPNX.

Infrastructure Providers

Sub Segment: Tower companies, Fibre Optic Backbone
Key Players: IHS Towers, ATC, MainOne Galaxy Backbone.

Enterprise Services

Sub Segment: Dedicated Internet, VPNs cloud services
Key Players: MTN business, Airtel business, MainOne Rack.

Over-the-Top (OTT) Services

Sub Segment: Messaging, VoIP, Streaming
Key Players: WhatsApp, Facebook, Netflix, YouTube.

Value Added Services

Sub Segment: Mobile Banking, USSD, Caller Tunes
Key Players: Interswitch, VAS2Nets, Terragon Group.

Emerging Technologies

Sub Segment: IoT, 5G, Smart City Solutions.
Key Players: MTN Nigeria, Airtel (5G Pilot), ZTE, Huawei (equipment vendors).

Nigerian Telecommunications Market Structure

Tower Infrastructure

Passive infrastructure leased to multiple mobile operators.
Asset-light model with long-term contracted cash flows, typically featuring inflation-linked escalators.

Key Investment Characteristics

- Growing co-location demand from 4G/5G rollout.
- Diversified tenant base reduces single-operator risk.
- Stable, predictable recurring revenue streams.

Key Players:

IHS Towers, American Tower Corp (ATC).

Fibre Networks

Long-haul and metro fibre backbones connecting cities and enabling broadband last-mile delivery. High upfront capex; durable near-monopoly assets once at scale.

Key Investment Characteristics

- FTTH demand growing as urban connectivity expands.
- Strong network effects once deployed at scale.
- Wholesale capacity sold to ISPs and enterprises.

Key Players:

MainOne, Galaxy Backbone, iPNX.

Data Centres

Colocation and cloud hosting facilities underpinning digital services, enterprise IT and OTT platforms. Rising demand as Nigeria's digital economy accelerates.

Key Investment Characteristics

- Cloud adoption accelerating among enterprises.
- Undersupplied market relative to demand trajectory.
- Strategic gateway role for West Africa connectivity.

Key Players:

MainOne (Equinix), Medallion DC, Rack Centre.

STRATEGIC SECTOR FOCUS

Energy



The Nigerian power sector is undergoing a gradual recovery driven by regulatory restructuring, infrastructure upgrades, and increasing private sector involvement. Reforms gained momentum in 2024 with the Electricity Act 2023 which decentralised the market and enabled states to regulate their own power systems, leading to new sub national projects and improved generation capacity supported by better gas coordination and TCN investments. Despite these gains, the sector remains financially fragile due to the tariff structure, liquidity constraints, high AT&C losses, ageing infrastructure, and electrification levels below 60%. Looking ahead to 2026 the outlook is cautiously optimistic, supported by ongoing grid expansion, regulatory decentralisation industry debt resolution, tariff reforms, and renewed efforts toward universal electricity access by 2030.

Overview

Nigeria's energy and infrastructure market recorded increased transactional activity across the first three quarters of 2025. The market was shaped by:

- Upstream oil and gas divestments by International Oil Companies (IOCs).
- Portfolio consolidation by indigenous operators.
- Stronger regulatory clarity under the Petroleum Industry Act (PIA).
- Increased public-private collaboration under the ICRC PPP framework.
- Renewed investor confidence following macroeconomic stabilization.

Activity was largely characterised by strategic asset realignments and indigenous capacity expansion across upstream, midstream, and power segments.

Energy Sector – M&A and Capital Deployment

Upstream Realignments

IOC exits from mature assets dominated 2025 M&A activity:

- TotalEnergies divested its 12.5% interest in Bonga OML 118 to Shell for US\$510 million.
- Chevron completed a US\$250 million disposal of non-core Niger Delta onshore assets to a Nigerian consortium.

These transactions reflect continued portfolio optimisation by IOCs toward lower-emission assets and growing indigenous participation in upstream operations.

Gas & Midstream Expansion

The Midstream and Downstream Gas Infrastructure Fund (MDGIF) deployed approximately ₦165 billion in equity-linked project funding, strengthening domestic gas infrastructure development in alignment with PIA objectives.

Gas remains central to Nigeria's transition strategy, positioned as a bridge fuel supporting power generation, industrialisation, and cleaner transport alternatives.

Infrastructure Market – PPP & Blended Finance

The infrastructure sector recorded moderate but strategic deal flow, reflecting Nigeria's increasing adoption of blended finance and PPP structures, particularly at sub-national levels.

Notable transactions include:

- US\$65 million concession-led investment by BUA Group in Rivers Port Terminal B.
- US\$200 million distributed mini-grid programme between WeLight and the Rural Electrification Agency (REA).

These deals demonstrate investor appetite for infrastructure projects with clear revenue visibility, structured concession frameworks and policy-backed risk mitigation.

Sources

<https://practiceguides.chambers.com/practice-guides/energy-infrastructure/ma-2025/nigeria/trends-and-developments>
<https://nairametrics.com/2025/11/14/mdgif-invests-n287-billion-in-gas-infrastructure-unlocks-500m-funding/>

Glossary

TCN stands for Transmission Company of Nigeria
 AT&C losses stands for Aggregate Technical and Commercial losses

ICRC PPP Framework refers to Nigeria's Infrastructure Concession Regulatory Commission (ICRC) Public-Private Partnership framework

The Nigerian Compressed Natural Gas (CNG) Industry

The CNG industry is gaining traction as part of Nigeria's clean energy transition following fuel subsidy removal and rising liquid fuel prices.

Key developments:

- Over 100,000 vehicles converted to CNG as at Q1 2025 (primarily commercial fleets).
- Concessional gas pricing at \$1.57/MMBtu.
- Free or subsidised conversion kits under the Presidential CNG Initiative (PCNGI).

Despite this progress, penetration remains low, with converted vehicles representing less than 1% of Nigeria's estimated 12 million registered vehicles, indicating substantial headroom for growth.

Strategic Themes for CIF Deployment

The 2025 deal landscape reflects a structural transition in Nigeria's energy and infrastructure markets:

- Indigenous consolidation of upstream assets.
- Expansion of gas as a transition fuel.
- Increased PPP-driven infrastructure financing.
- Rising investor confidence anchored on regulatory stability.



Sources

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<https://nairametrics.com/2025/11/14/mdgif-invests-n287-billion-in-gas-infrastructure-unlocks-500m-funding/>
<https://www.agustoresearch.com/report/2025-nigerian-cng-industry-report/>

Glossary

CNG stands for Compressed Natural Gas

| APPENDIX



Frequently Asked Questions

S/N	QUESTION	ANSWERS
1	What is the target rate of return for the Coronation Infrastructure Fund ("CIF" or the "Fund")?	The guidance rate is a margin of 300 basis points over and above the prevailing yield of a Federal Government of Nigeria (FGN) Bond with a tenor similar to the series being issued.
2	Why is the target return for the Series 1 offer benchmarked to a 10-year FGN bond when the Fund life is 99 years?	The Fund has a finite life of 99 years. However, each tranche issued under the Shelf Programme will have a different tenor. The tenor for the Series 1 offer is ten (10) years. Hence, the benchmark reference at offer close will be the prevailing yield on the 10-year FGN Bond.
3	Is the 300 basis points margin (to yield of a 10-year FGN Bond) net or gross?	The return guidance by the Fund Manager is net and not inclusive of the Fund Manager's fee or other associated costs.
4	What liquidity options are available for investors?	The Fund is listed on NGX to enhance the Fund's liquidity option.
5	Does the fund manager have experience of investing in infrastructure projects?	The management of the Fund Manager and the investment committee of the Fund have more than 100 years of cumulative experience of financing, investing, and managing infrastructure projects. The Fund Manager will leverage on the experience of the management and investment committee to ensure a risk-free investment across its portfolio.
6	Does the Fund have live transactions in its pipeline to finance with a capital raise of ₦20 Billion?	The Fund has a number of active deals in its pipeline with a value of more than ₦64 billion. Several of these deals are currently at due diligence phase and will be ready for financing at close of the Series 2 Fund.

Frequently Asked Questions

S/N	QUESTION	ANSWERS
7	Is the Fund open-ended or close-ended?	The Fund is a close-ended infrastructure fund/collective investment scheme.
8	What types of investments will the infrastructure fund pursue to outperform inflation within a six-month timeframe?	The fund will focus on six sectors (Transportation, Real Estate, Utilities, Social Infrastructure, Telecommunication, and Energy) and invest in businesses with established cash flows.
9	Is the Fund a debt fund or an equity fund?	The Fund is a closed-end infrastructure collective investment scheme and a debt fund, as it primarily invests in senior debt and securitised debt instruments across infrastructure projects, infrastructure-related assets, companies, and SPV.
10	Who are the target investors for the Fund?	The Fund is targeted at Pension Fund Administrators, CPFAs, Insurance Companies, Asset Managers, High Net Worth Investors, and other classes of investors.
11	What is the minimum investment size?	The minimum lot size is 100,000 units and in subsequent multiples of 50,000 unit.
12	Is there a rating for the Fund?	No, however, the Fund Manager, standing as the Issuer is the rated entity for the Issuance. The Fund Manager is rated "A (IM)" by Agosto & Co. and "A (NG)" by GCR Ratings.
13	How often are income distribution to investors made?	Payments are semi-annual, with principal paid at the end of each series tenor.

Achievements and Highlights

CORONATION

LIVE WEBINAR ON

Exploring **Infrastructure Funds** as an Alternative **Investment Opportunity**



Keynote Speaker
Myrona Dutton
Head, Coronation Infrastructure Fund



Panelist
Abiodun Femi Akintola
Chief Executive, Tropicana City



Moderator
Susan Odehinde
Investment Banking Sector Analyst
Coronation Asset Management



Panelist
Chike Onyiah
Head, Operations and Marketing
APCF, Ltd



Panelist
Victor Samuel
Managing Director, APCF, Ltd

Wednesday, October 22, 2025 12pm - 1pm West African Time Zoom Duration: 1 hour

Registration link: <https://bit.ly/CIWwebinar2025>



Home Companies

Coronation Infrastructure Fund backs Elektron Energy's 30 MW Sustainable Power Plant to bolster Lagos electricity supply

by NN Partners — December 2, 2025 in Companies, Corporate Updates



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Coronation lists N8.79 billion infrastructure fund on NGX at N100, states target investors

by Isechukwu Okoye — August 25, 2025 in Companies, Company News, Equities, Markets, Stock Market



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Coronation Infrastructure Fund Q1 2025 Newsletter.

Infrastructure is more than roads and bridges—it's the catalyst for Nigeria's economic development.

Read the full report here:
bit.ly/CoronationInfrastructureFundQ1Newsletter



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Coronation Infrastructure Fund Q2 2025 Newsletter.

Building Nigeria's tomorrow with sustainable infrastructure today.

Read the full report here:
<https://bit.ly/CoronationInfrastructureFundQ2Newsletter>



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